Marking Criteria

Year 12 Business Studies Assessment Task – Term 4 2014

Question 1

Suggested Answers & Criteria
a) Outline how operations is interdependent with marketing *Answers could include:* Marketing relies on operations to produce goods that are of sufficient quality to support the claims that are promoted through advertising and ensure that customers are not deceived or mislead when persuaded to purchase the item. Operations rely on marketing to provide market research on tastes and preferences to ensure that they are producing products that are desired. This provides information about the product features and qualities that the output should possess. **Criteria** 2 marks: clear dependence is shown in both directions (ops on marketing and marketing on ops) 1 mark: dependence is only given in one direction. Markers comment: Generally this question was done reasonably poorly. Simply stating what each key business function does is not really showing interdependence. You much be specific in your dependence example in each direction. If your answer could equally be applied to any business function (other than marketing) then you need to think carefully about whether this example is valid. **b) Distinguish between the inputs used in the production of a good compared to that of a service. Use examples to illustrate your answer.** *Answers could include:* Goods have inputs in the production process that are tangible including transformed resources such as raw materials and transforming resources such as capital equipment and facilities whereas services tend to have inputs which are intangible in nature such as the skill, educational qualifications and knowledge that an expert such as a doctor may possess when providing a customer with a service. **Criteria** 2 marks: awarded for making the differences clear between the inputs used

in a good and that of a service.
1 mark each: awarded for a correct example of an input for a service and a good.

Markers comment: This question was done reasonably well however there was a tendency to address the concept of goods vs services rather than the ***inputs*** of goods vs the ***inputs*** of services. Some students failed to give concrete examples.

Question 2

Suggested Answers & Criteria
a) Distinguish between transformed and transforming resources. **Criteria** 2 marks: Clearly notes the difference between transformed resources (MIC) and transforming resources (Human resources/Facilities) 1 mark: Identifies examples or no clear difference. *Answers could include:* Transformed Resources: are those inputs that are changed or converted in the operations process eg: Materials/Information/Consumers. Transforming Resources: are those inputs that carry out the transformation process. Human Resources/Facilities **b)** Outline how the influence of visibility would be different for a manufacturer of shoes compared to a sandwich shop that makes sandwiches in front of their customers. **Criteria** 2 marks Sketches in general terms the differences in visibility for each buisness 1 mark : No clear differences. *Answers could include:* No visibility of manufacturing business – consumers do not see the shoes being made or the conditions that they are made in. High visibility in the sandwich shop – consumers see sandwiches being made therefore shop must be clean, hygiene standards high etc **c)** Explain why customer service and warranties are important to the operations process.

Criteria
4 marks: Relates cause and effect of both the importance of customer service and warranties to the operations process.
3 mark: Provides characteristics and features of both customer service and warranties and their importance to the operations process.
2 marks: Does only one or sketches in general terms the importance of customer service and warranties to the operations process.
1 mark: Sketches in general terms the importance of customer service or warranties

Answers could include: Customer services and warranties are considered to be outputs of the business. That is because they can inform the business in regards to their transformation process. Eg: if products are being returned and fixed under warranty then that gives the business information that they need to fix the issue that is occurring in the process so as to save them money in the long run – this could effect their reputation/goodwill. In Regards to customer service businesses need to listen to their customers. Customers that are not satisfied will return good or shop elsewhere so business needs to change their processes to ensure they are customer focused. If they can do this then they may be able to charge more for their product. This can lead to repeat customers etc.

In order to get 4 marks needed to link customer service to feedback that can flow back t o processes and how that good customer service is listening to customers which builds goodwill. With warranties important to note that increased warranty claims means that there are defects and this will inform operations manager that there is an issue in the process and increase costs - repairs

A lot of students got 3 out of 4 as they were descriptive and did not clearly show cause and effect. Eg link increased costs/repairs.

Question 3

Suggested Answers & Criteria
a) Define globalization. *Answers could include:* Globalisation refers to the removal of barriers to trade between nations creating a world economy. There is increased trade in goods and services as well as a transfer of finance, labour and intellectual ideas.

Criteria
2 marks: Clearly states meaning and identifies essential qualities
1 mark: Makes reference to some aspects of globalization.

b) Outline how quality expectations could affect business operations.

Answers could include:
Quality expectations refers to the business's objectives in relation to the performance of products in a range of attributes such as durability and safety. These objectives will be as a result of consumer expectations of the product as established by marketing via its reputation and pricing. Quality expectations in service may refer to the overall degree of competence and the professionalism, customisation and reliability of the provider.
This may affect business operations by requiring the operations department to ensure the appropriate quality of inputs is used in the production process and ensure they have strategies to monitor, control and improve production processes . In a service the operations manager must assess carefully the skills, knowledge and capabilities of employees who are required to deliver exceptional service to clients in areas such as hotels, airlines and restaurants.

Criteria
2 marks: Sketches in general terms quality expectations and how this affects business operations.
1 mark: Makes reference to quality expectations.

c) Describe how environmental sustainability could impact TWO inputs used in the operations process.

Answers could include:
Environmental sustainability refers to the development that meets the needs of the present without compromising the ability of future generations to meet their own needs. Or intergenerational equity – generations that follow the current one should have the same access to the environment in at least as good a condition as it is today.
Businesses have to look beyond short term gain and look to the long term impact. Consider stakeholders other than shareholders or those with a financial interest.
Impacts the Operations process as operations must give consideration to the inputs they use in the production process. These may be more costly to source or may incur increased costs in the transformation process.
Materials -

- non-renewable resources should be rationed and used to their full potential avoiding wastage (use of hardwood by furniture manufacturers or construction companies)

- reduction in packaging or use of recycled materials

Customers –

- Customers choices may shape the inputs chosen. Foe ex - Customers may prefer to manage information online as opposed to via paper to reduce the impact on the environment and this impacts on the choice of resources used in the operations process.

Facilities -

- Use of alternative energy sources in the production process like natural gas, solar and wind power versus fossil fuel (coal and oil)

Criteria

4 marks: Provides detailed characteristics and features of environmental sustainability and clearly demonstrates the impact on two inputs used in the operations process

2-3 marks: Provides some characteristics and features of environmental sustainability and/or demonstrates the impact on one or two inputs used in the operations process

1 mark: Outlines environmental sustainability OR gives only one example.

d) Distinguish between legal compliance and ethical responsibility as it relates to operations management. Use examples to illustrate your answer.

Answers could include:

Legal compliance involves all businesses complying with Government laws. There are no exemptions from these laws and failure to comply with these laws will result in enforced penalties such as fines. This is different to ethical responsibility which is where businesses may choose to go above and beyond the law to comply with consumer's ethical standards. They are considering other stakeholders – not just shareholders. Some businesses show their commitment to ethical behaviour by establishing a code of conduct – just a voluntary set of rules to guide the actions and behaviour of the business.They are creating a positive image which they hope will attract customers to their products/brands. This may give a competitive advantage and increase market share and therefore bring increased returns to the business.

Examples may include Tapex not only complying with the Environment Protection and Biodiversity Conservation Act but acting above and beyond this by placing recycling bins in rural areas. Or Village Roadshow recycling water and building a water storage tank in its Wet N Wild operations to reduce amount of freshwater used even though it is not required to do this by law. Or a company complying with the Work Health and Safety Act in respect to wearing safety glasses and steel capped boots but going beyond this by sourcing machinery that has lower noise emissions for the workers comfort.

Criteria:

4 marks: Clearly establishes the difference between legal compliance and ethical responsibility for operations management and provides a relevant example.

2-3 marks: Defines legal compliance and ethical responsibility and may or may not provides a relevant example.

1 mark: Defines legal compliance or ethical responsibility or provides a relevant example.

Question 4

Suggested Answers & Criteria
a) Answers could include: **Two performance objectives being compromised are:** **1. Quality: quality of design - how well the product is made, quality of service** **2. Speed – refers to time taken for production and respond to changes in demand** **3. Dependability- how consistent and reliable products are** **Criteria** 2 marks: Sketches in general terms and correctly names TWO performance objectives and links to stimulus material. 1 mark: May just list TWO performance objectives **Markers comments** 4a) Most students were able to identify the three main key performance objectives outlined in the stimulus. Cost was NOT one of the alternatives that best fit the stimulus so please learn your syllabus terminology *b) Answers could include:* **Monitoring is the process of measuring actual versus planned performance using KPI's (defect rates, turnover rates etc) Control occurs when predetermined targets are compared to results and corrective action is taken. Indicates any issues and enables managers to change the operations process eg changing level of technology to correct problem.** **Criteria** 3-4 marks: Provides characteristics and features of monitoring and controlling relevant to television manufacturer. 2 marks : May provide some characteristics and features of monitoring and controlling may relate to television manufacturer. 1 mark : Outlines monitoring OR controlling. **Markers Comments** 4b) Students needed to define monitoring and controlling correctly and

relate these to the TV manufacturer to receive full marks for this question. Many could say how these would impact manufacturing but didn't identify what they were.

c) Answers could include:
Outsourcing involves the use of specialist external providers to perform business activities such as Manufacturing, accounting or marketing.
Advantages include: simplification, efficiency and cost savings, access to skills/resources lacking in the business, enables business to focus on core business.
Disadvantages: Cost, communication, loss of control of standards and information security, loss of corporate memory and vulnerability.
Relevance for TV manufacturer:
Advantages: Improve quality of TV production through better technology , access to quality and reliable supply of resources and speed of delivery.
Disadvantages: May lose quality control and design specification issues, transportation/delivery times may increase etc
Criteria
3-4 marks: Provides advantages and disadvantages relevant to television manufacturer
outsourcing their production.
2 marks: Provides some advantages and disadvantages for outsourcing may/may not relate
to television manufacturer
1 mark: Provides an advantage OR a disadvantage of outsourcing may not relate to
stimulus.

Markers comments

4c) The advantages and disadvantages were well discussed in this question however, some students forgot to include what outsourcing was in their answer. Please remember that short answer questions require specific detail and this means giving definitions of terms being used. Overall most students did well in this question and used appropriate terminology. Further refinement of short answer skills will enable improvement.

d)

Question: Explain how supply chain management and technology could be used to improve the operations process for this manufacturer.

Answers could include:

Supply Chain management involves integrating and managing the flow of

supplies throughout the inputs, transformation processes and outputs in order to best meet
customer needs. Effective supply chain management could involve global sourcing. Global sourcing allows the firm to select from a broader range of suppliers, some of which will be able to supply higher quality raw materials in the production process and reduce the quality concerns. In addition the use of specialised e-commerce software which can act as a B2B solution for the various links in the supply chain. For example, raw materials that are needed for the production of the TVs can be ordered automatically if these databases are integrated down the supply chain leading to less delay and more accurate ordering processes. Leading edge technology could be used in the production process of the TVs for example the use of specialized capital equipment and robotics which could increase the speed of production but also the accuracy and dependability of assembly would address the slow production concerns currently experienced.

Criteria
5-6 marks Relates cause and effect of Supply chain management and technology on improving operations process for television manufacturer.
3-4 marks: provides the characteristics and features of supply chain management and technology but may not make concrete links to business improvement or TV production
2 marks: Defines SCM and /or Technology but doesnt relate to stimulus
1 mark: Defines SCM or Technology